ENCAP INVESTMENTS L.P.

Memorandum

To:	EnCap Investment Staff
From:	Jason DeLorenzo, Ryan Devlin, Brooks Despot, Connor Michelsen, and Connor Mannon
Date:	September 5, 2023
Re:	**Black Swan Oil & Gas II Holdings, LLC – Potential $195 Million Fund XII Commitment**

The purpose of this memorandum is to provide an overview of (i) Black Swan Oil & Gas, LLC's ("Black Swan") recent sale to Ovintiv Inc (NYSE: OVV) and (ii) the proposed formation of Black Swan Oil & Gas II, LLC ("Black Swan II" or the "Company"). The Company will be capitalized with a $200.0 million common equity commitment, with Fund XII committing $195.0 million and the Black Swan II management team ("Management") initially committing $5.0 million.

Executive Summary

- Black Swan was formed in September 2017 with a $250.0 million equity commitment ($248.5 million from Fund XI and $1.5 million from Management) and was ultimately expanded to a $550.0 million commitment ($547.5 million from Fund XI and $2.5 million from Management). After initially capturing assets in the Green River Basin of Wyoming, Management pivoted to the Northern Midland Basin and aggregated ~20,100 largely contiguous acres in Martin County, TX along with ~13,800 NRA and brought online 35 operated horizontal wells targeting six Spraberry and Wolfcamp horizons. See **Exhibit A** for a map of the Black Swan's acreage.
- On June 12, 2023 EnCap closed on the sale of substantially all of Black Swan, Piedra III, Piedra IV, and PetroLegacy's (collectively "EnCap Northern Midland Basin") operated and non-operated properties in the Northern Midland Basin to Ovintiv, Inc. (NYSE: OVV) for total consideration of $4.36 billion, consisting of $3.24 billion of cash and $1.12 billion of OVV equity. The combined assets represented ~65,000 net acres primarily in Martin and Andrews Counites, TX with net production of ~75 MBoe/d. In addition, all companies retained additional asset value in mineral and royalty interests that were excluded from the transaction. Including retained mineral value, EnCap expects to generate a 2.8x ROI net to EnCap for these four entities. Net to Black Swan's interests, and accounting for conservative values of the OVV stock and retained royalty (10,600 NRAs) and oil gathering assets, Fund XI is expected to generate a 3.2x and 46.0% IRR on its $498.0 million equity investment.
- Most of the core management members responsible for Black Swan's success, including Ian Yingling (CEO), David LaLonde (CFO), Sean Nguyen (VP Operations), and Andrew Clark (Geology Manager) will lead Black Swan II. We believe Black Swan II represents an opportunity to re-back a top-tier team with low overhead ($5.0 million) that brings excellent and well-rounded commercial, technical, and operational capabilities. Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.
- Black Swan II will initially focus its efforts in the Midland Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success in the northern side of the Basin. Management believes there are actionable consolidation opportunities as both public and private operators look to offload assets. Black Swan II will also remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.
- EnCap and Management are in the midst of discussions regarding the formation of Black Swan II and have reached an agreement on deal terms. Given Management's proven track record with EnCap, **we recommend capitalizing Black Swan II with a $200.0 million equity commitment comprised of $195.0 million from EnCap Fund XII and $5.0 million from Management.**

Black Swan I Performance

Black Swan was formed in September 2017, with a $250.0 million commitment ($248.5 million from Fund XI and $1.5 million from Management) and was subsequently expanded to a $550.0 million commitment ($497.7 million from Fund XI and $2.3 million from Management). At closing of the sale of their assets on June 12, 2023, the Black Swan had invested $497.7 million of its $550.0 million 8/8ths commitment and had $225.1 million drawn on its revolver. Black Swan was managed by Ian Yingling (CEO), David LaLonde (CFO), Jason Kneedy (EVP Geoscience), Kathy Brotherton (EVP Business Development), and Sean Nguyen (VP Operations).

After initially focusing on the Green River Basin in Wyoming, Management shifted its focus to the Northern Midland Basin, in particular northwest Martin County, where rock properties pointed to an emerging core part of the basin despite limited well results due to the highly fragmented nature of the acreage. Beginning with a 3,700 net acre acquisition in February 2019 from EXL Petroleum, Black Swan successfully assembled a highly attractive ~20,100 net acre position in Martin County, Texas at a reasonable overall entry price of ~$11,100 per acre. In addition to its leasehold position, Black Swan accumulated ~13,800 NRAs consisting of both mineral interests and overrides giving the Black Swan an average ~84% 8/8ths NRI across its position. Black Swan ultimately delivered a 78% NRI to OVV, and the remaining 10,600 NRA are housed in an entity called 1025 Investments (see **Exhibit B** for a map). Based on OVV's estimated two-rig program on the Black Swan assets, 1025 Investments is projected to generate ~$100.0 million in revenue over the next 12 months.

Regarding operations, Black Swan initiated its development plan in Q3 2021 focused on the eastern most portion of the position (considered to be of lesser quality than to the west), drilling a four-well pad (Truffle Shuffle) targeting the Wolfcamp A and Lower Spraberry formations. After monitoring results and seeing attractive drilling economics, the Company subsequently commenced development of a six-well pad targeting four landing zones (Lower Spraberry, Wolfcamp A, Wolfcamp B and Jo Mill). With continued success, the Company ultimately increased activity to three rigs and focused on larger pad development consisting of 12-18 wells. Given the position was 96% HBP, Black Swan was methodical in how the asset was developed with a keen focus on minimizing parent/child issues. In total, Black Swan brought 35 horizontal wells online (average DROI of ~2.5x assuming $70/$3 pricing) prior to the OVV sale discussed below.

Black Swan also formed an oil gathering entity, Black Knight Midstream (see **Exhibit C** for a map), to resolve oil takeaway constraints as legacy pipelines in the immediate area were at-or-near full capacity. Today, there are 23 miles of 8-10" pipe in the ground with 84 Mbopd of capacity, and 2024 EBITDA is projected to be ~$10.0 million primarily driven by OVV's activity (24,000 gross acre dedication for 12 years). Management continues to source additional third-party business.

On June 12, 2023, EnCap closed the sale of EnCap Northern Midland Basin's (Black Swan, Piedra III, Piedra IV, and PetroLegacy) operated and non-operated properties in the Midland Basin to OVV for a total consideration of $4.36 billion, comprised of $3.24 billion cash and $1.12 billion in equity. The combined assets represented ~65,000 net acres primarily in Martin and Andrews Counties, TX with net production of ~75 MBoe/d. Net to EnCap across all four companies, the transaction generated a 1.7x ROI on cash received at closing and distributions made to date. Assuming the value of the equity consideration received at the time of announcement, this transaction generates an additional $0.9 billion in value, or a 2.3x net to EnCap. Accounting for the retained mineral assets, EnCap could ultimately receive over $4.0 billion, representing a 2.8x ROI.

Black Swan's allocated value in the sale to OVV was $1.84 billion ($1.38 billion of cash and $0.46 billion of equity). At closing, Black Swan received ~$1.01 billion of cash proceeds net to Fund XI, representing a 2.0x net ROI / 29.2% net IRR. Assuming the release of certain indemnity holdback proceeds ($35 million 8/8ths) in November as well as the monetization of the OVV stock at the agreed-upon price in the securities purchase agreement ($35.23/share), EnCap will receive an additional $351.0 million and realize a 2.7x net ROI / 40.5% IRR. Additionally, Black Swan's retained ~10,600 NRAs will provide meaningful upside (~$100.0 million in projected NTM royalty revenue) and are currently marked at a conservative valuation of $365.0 million as of June 30, 2023. Assuming the royalty and oil gathering assets are sold at the current conservative book value in June 2024, we expect Black Swan to ultimately achieve a 3.2x net ROI / 46.0% net IRR.

Northern Midland Basin Sale Summary ($'s in MM)

8/8ths Transaction Value			Black Swan Transaction Value		
Adjusted Purchase Price			**Allocated Adjusted Purchase Price**		
Cash Consideration	$	3,241	Cash Consideration	$	1,382
Equity Consideration		1,120	Equity Consideration		462
8/8ths Purchase Price	**$**	**4,361**	**Allocated Purchase Price**	**$**	**1,844**
SPA Share Price	$	35.23	SPA Share Price	$	35.23
Total Shares Received		31.8	Total Shares Received		13.1
Adjusted Cash	$	3,241	Adjusted Cash	$	1,382
Less: Debt		(675)	Less: Debt		(269)
Less: Transaction Fees		(36)	Less: Transaction Fees		(13)
Less: Holdback		(35)	Less: Holdback		(15)
Total Cash Proceeds at Closing	**$**	**2,494**	**Total Cash Proceeds at Closing**	**$**	**1,085**
Net Cash to EnCap Funds at Closing	**$**	**2,326**	**Net Cash to EnCap Funds at Closing**	**$**	**1,011**
Net Equity Value (1)	$	869	Net Equity Value (1)	$	340
Net Residual Value (2)		780	Net Residual Value (2)		263
Total Net Unrealized Value	**$**	**1,649**	**Total Net Unrealized Value**	**$**	**604**
Total Net Realized & Unrealized Value	**$**	**3,975**	**Total Net Realized & Unrealized Value**	**$**	**1,614**
Total Equity Invested	**$**	**1,492**	**Total Equity Invested**	**$**	**498**
Cash ROI (3)		1.7x	Cash ROI		2.0x
Total Cash + Equity ROI		2.3x	Total Cash + Equity ROI		2.7x
Total Sale Procees + Residual Value		2.8x	Total Sale Procees + Residual Value		3.2x

(1) Based on agreed upon price in SPA ($35.23/share); Assumes shares sold 12/31/2023
(2) Includes Holdback; Assumes remaining PLE assets sold 9/30/2023; Black Swan & Piedra Entities sold 6/30/2024
(3) Includes prior distributions from Piedra III / IV of $230 million

Black Swan II Strategy

In light of Management's recent experience and success, Black Swan II will initially focus its efforts on the Permian, specifically the Midland Basin. Management plans to leverage their deep network of contacts, technical understanding of subsurface dynamics, and operational expertise to identify attractive opportunities. Black Swan II has already identified several underdeveloped positions in the Midland Basin held by both private and public operators, and Management is in discussions on both large producing acquisitions as well as smaller farm-in opportunities where the team can utilize is operating skill sets to drive value. Management will also be opportunistic as it relates to deals in other basins as the team has a diverse background of evaluation and operations throughout the lower 48.

Management Bios

Black Swan's core management consists of Ian Yingling (CEO), David LaLonde (CFO), Sean Nguyen (VP-Operations), Alex Hester (VP-Land & BD) and Andrew Clark (Geology Manager). Several team members from Black Swan I have left the company or are assuming reduced roles going forward: Jason Kneedy (EVP Geoscience) has retired, Kathy Brotherton (EVP Business Development) has semi-retired but will manage the 1025 Investments royalty company, and Jeff Brooks (VP Land) is pursuing other opportunities in the oil and gas industry. Despite these departures, we have full confidence in Mr. Yingling and the Black Swan II management team to generate significant value for Fund XII.

Ian Yingling: Chief Executive Officer

Mr. Yingling holds a BS in Petroleum Engineering from Texas Tech University and an MBA from the University of Oklahoma. Mr. Yingling began his oil and gas career in 2003 with Occidental Petroleum as a Production and

Reservoir Engineer where he conducted in-depth reservoir studies and economic analysis for various water flood projects in the Permian Basin. In 2005, he moved to Oklahoma to work for HighMount E&P/ Dominion E&P as a Senior Reservoir Engineer where he worked on the Western Business Unit. In 2009, Mr. Yingling was promoted to Manager of Operations, Planning & Corporate Development where he implemented new planning processes and led the company's Michigan and Alabama asset divestitures ($535.0 million). In 2011, Mr. Yingling became the Manager of Reservoir Engineering where he was in charge of economic analysis for all capital projects and corporate reserves. Mr. Yingling was quickly promoted to the General Manager of the Permian asset where he was responsible for over 6,000 wells producing over 130 MMcfe/d. Here he led HighMount's efforts to test the Wolfcamp Shale and was critical in the company's ultimate divestiture of its assets to EnerVest in 2014 for ~$800.0 million.

After a short stint as Continental Resources' Manager of Resource Development and New Ventures, Mr. Yingling went to work in early 2015 as Vice President of Reservoir Engineering for Warwick Energy, a non-operated private equity investment group primarily focused on the Eagle Ford, Merge, SCOOP, STACK, and Permian Basin. At Warwick, Mr. Yingling led economic evaluations of well proposals and acquisitions and was responsible for annual reserve reports, lookback analysis, and investor requests. While at Warwick, he evaluated 20-25 AFE's per month over the entire continental United States as well as led the development of automated processes to review over 300+ type curves covering every major unconventional reservoir in the United States. Mr. Yingling most recently launched a new platform within Sherman Financial Group, Red Palmetto Energy, focused on acquiring assets across the United States with strategic intent to invest in basins that provide long-dated optionality to commodity price volatility with potential for high ROI. Prior to Mr. Yingling's departure, Red Palmetto had made over 20 bids, totaling over $1.0 billion, on deals focused in the Bakken, Eagle Ford, Marcellus, and Permian.

David LaLonde: Chief Financial Officer

Mr. LaLonde has 20 years of executive, corporate finance and M&A experience while serving in various capacities, including private equity investing, investment banking advisory and now as CFO of Black Swan Oil & Gas. Prior to joining the company, David was the CFO of Riley Permian, now a publicly traded E&P company (ticker: REPX), where he led the company's strategic planning, corporate finance, and M&A efforts in preparation of a planned IPO. Earlier in his career, David was a Partner of Petro Capital, where he co-managed the E&P activities of the firm. During his tenure there, he directly led the closing of dozens of transactions, exceeding $2.0 billion of transaction value. Prior to this, David was an Associate of The Sterling Group, a middle market, operationally focused, non-energy private equity firm based in Houston, that today has more than $4.0 billion of assets under management. To start his career, David worked for Bear, Stearns & Co.'s investment banking group in its Dallas and New York City offices.

Mr. LaLonde earned his MBA from the Wharton School of the University of Pennsylvania and is a Joseph Wharton Fellowship recipient. He is also a graduate of Texas A&M University with a BBA in accounting and MS in finance. Today, Mr. LaLonde serves as Trustee for the Heritage Hall School, and is the President of the Oklahoma City A&M club. Previously, he served on the Board of Arthur Ashe Youth Tennis & Education in Philadelphia.

Sean Nguyen: VP - Operations

Mr. Nguyen has more than 20 years of experience in oil and gas exploration. Prior to joining Black Swan, Sean served as Completion Manager for Chesapeake Energy's Marcellus and Utica assets. His past leadership roles with Chesapeake Energy included Drilling Manager for Haynesville and Mid-Continent; and Production Manager for the Marcellus. Sean began his career with Phillips Petroleum in 1998 and worked in a variety of engineering and business development positions supporting operations in North America and the North Sea. Sean earned his Bachelor of Science and Master of Science in Petroleum Engineering from the University of Oklahoma.

Alex Hester: VP - Land

Ms. Hester has devoted over 15 years of her career to Land Management and Business Development activities throughout multiple basins in Texas. For the majority of her career, Ms. Hester has specialized in acquisitions, divestitures, joint ventures, trades, and leasing, exceeding $3.5 billion in transaction value. Prior to joining Black Swan, she served as Permian Basin Business Development Land Manager for SM Energy, focusing on growth, consolidation, and exploration. Ms. Hester held similar Land and Business Development roles at Devon Energy in the early part of her career. Ms. Hester earned her MBA and a Bachelor of Business Administration in Energy Commerce from Texas Tech University. Ms. Hester is a Certified Professional Landman, a member of AAPL, PBLA, ADAM Permian, WEN Permian Basin and previously served on the West Texas Food Bank Board of Directors for eight years.

Andrew Clark: Geology Manager

Mr. Clark has over a decade of experience delineating unconventional opportunities across numerous plays in the Mid-Continent region, Appalachian Basin, and South Texas. Before joining Black Swan, Mr. Clark worked on development and technical evaluations of the Fayetteville, Marcellus, and Eagle Ford Shales for CHK & Pennsylvania General Energy. Most recently, Mr. Clark spent the past 3+ years in Exploration at CHK working Rocky Mountains with an emphasis on the Powder River Basin. He received a BS in Geology from The University of Akron and a MS in Geology from Bowling Green State University.

Deal Structure

Based on the success Black Swan and our confidence in Management's ability to source, capture, and develop attractive opportunities, we are proposing to re-back Management and form Black Swan II with a $200.0 million equity commitment ($195.0 million from EnCap Fund XII, $5.0 million from Management). Upon any future commitment increases, Management has agreed to increase their commitment on a pro rata basis, and EnCap has granted them the right to increase its commitment percentage once additional OVV stock sale proceeds and royalty payments are distributed (contemplating up to 5%). The Black Swan II deal terms have been slightly modified from our prior terms with the team and are squarely in the fairway of recent deal terms in the EnCap portfolio. Below please find a summary of the Black Swan II structure and management incentive distribution hurdles relative to Black Swan II terms.

Equity Commitment

	Black Swan I			**Black Swan II**	
	($MM)	***% of Total***		**($MM)**	***% of Total***
EnCap Fund XI	$547.5	*99.5%*	EnCap Fund XII	$195.0	*97.5%*
Management	$2.5	*0.5%*	Management	$5.0	*2.5%*
Grand Total	**$550.0**	***100.0%***	**Grand Total**	**$200.0**	***100.0%***

Management Incentive Hurdles

[redacted]

Investment Rationale

- Opportunity to support a repeat, high-quality, management team that has demonstrated their ability to identify, capture, and create value in a challenging market environment
- Technically and operationally focused management team that is actively evaluating several potential opportunities in the Permian
- Management is like-minded with EnCap in regards to capital allocation and risk management
- EnCap will control the board and approve all major decisions

Exhibit A – Acreage Footprint

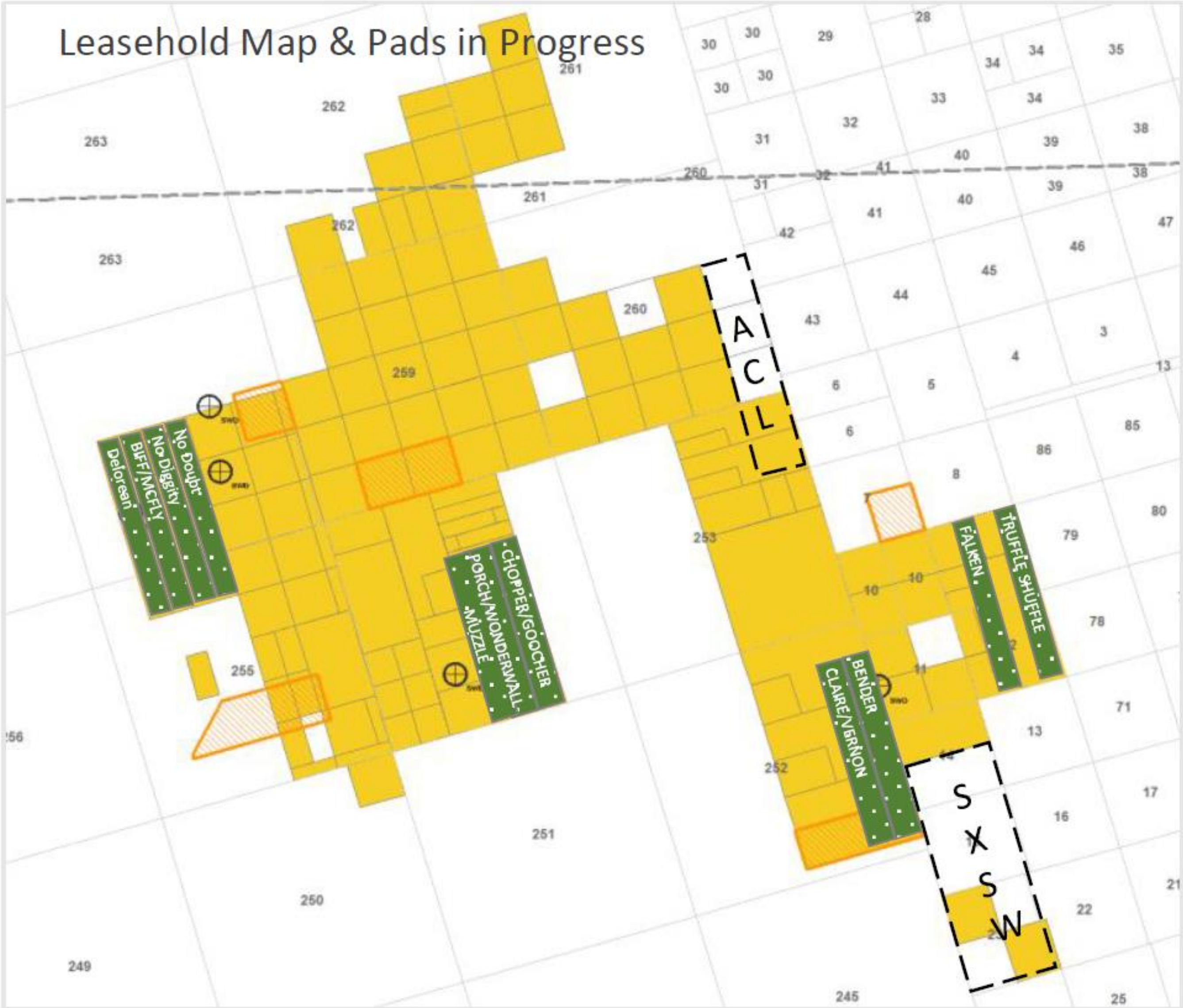

Exhibit B – 1025 Investments (Black Swan I Retained Royalty Interests)

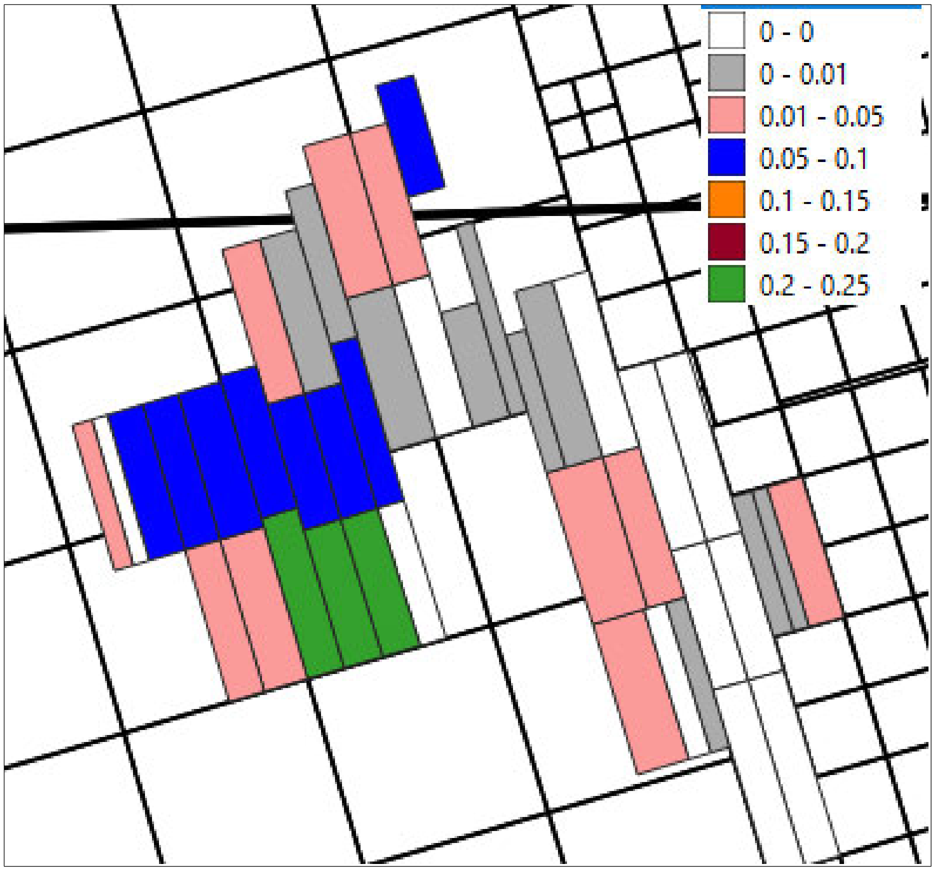

Exhibit C – Black Knight Midstream (Black Swan I Retained Oil Gathering System)